
FOINWI

Grow Beyond Numbers

NPS CALCULATOR

CURRENT-RULE & PRODUCT ACCURACY RECORD

Internal Governance Record

Audit / Review Period	10 September 2026 (read-only current-rule audit, then same-day correction)
Final Production Checkpoint	10 September 2026, 22:46:36 IST
Git Commit	5352acc 5352accc1a586b67a423964f20691b84ee89d2bd
Commit Message	Correct NPS calculator for current exit rules
Branch	main

This document is an internal FOINWI governance and product-accuracy record. It is not marketing material, legal advice, a filing tool, or a certification. It does not claim that the calculator is legally certified, government approved, CA certified, regulator approved, or permanently accurate.

1. Purpose of Record

This internal record documents the completed FOINWI current-rule and product-accuracy review for this calculator only. It records calculator scope, the regulatory/current-rule review, formula review, assumptions, discrepancies discovered, corrections implemented, validation evidence, remaining limitations, authoritative sources used, and the Git production checkpoint.

- Record the educational Tier-I accumulation and normal-exit illustration for a locked non-Government All Citizen / Common Scheme scope.
- Record replacement of the silent 40% annuity and silent 6% pension presentation.
- Preserve NOT DEFINITELY VERIFIED items from audit section 25.

2. Product Scope

What this calculator does

- Educational NPS accumulation and normal-exit illustration for a non-Government All Citizen Model subscriber under Common Scheme, Tier-I.
- Illustrated exit age of 60 or later. Beginning-of-month SIP identity for corpus.
- 20%/80% exit split applied only when projected corpus is above Rs 12 lakh.
- Statutory minimum annuity allocation 20% for that scoped case; visitor may illustrate higher allocation up to 100%.
- Illustrative market-linked return and illustrative annuity-rate assumption, both visitor-editable.

What this calculator does not do

- Not Government-sector NPS, Government-company corporate exit, NPS-Lite / Swavalamban, NPS Vatsalya, or MSF.
- Does not model premature exit, death, corpus of Rs 12 lakh or less exit bands, deferment to 85, existing PRAN balance, or employer contributions.
- Does not compute tax, charges/fees, NAV path, or an Annuity Service Provider quote.
- Does not treat 6% as a statutory NPS pension rate.

3. Pre-Correction State

- Silent 40% annuity applied as the pension conversion for an unscoped generic calculator. Current non-Government normal-exit minimum is 20%; 40% remains the Government minimum.
- Silent 6% inside Est. Monthly Pension, with no statutory basis, looking like a quoted NPS pension.
- Premature-looking age combinations (retirement 40-59) still used the normal-exit 40% formula; inverted ages were forced to 1 year.
- Primary result presented corpus as if a retirement payout and pension as if monthly income from that corpus, without the statutory split.
- Expected Return (%) labelling. Validator duplicated futureValueOfMonthlyDeposits and had no exact corpus/pension vector.

4. Current-Rule Audit Findings

Findings from the retained NPS current-rule audit. Section 25 uncertainties are preserved.

P0 Outdated silent 40% annuity for an unscoped calculator overstates a 20%-minimum pension by 2x and understates a 100% annuity choice.

P0 Silent 6% annuity rate inside Est. Monthly Pension. No statutory basis.

P0 Premature-exit combinations still used the normal-exit 40% formula. Current premature rule is 80% annuity unless corpus <= Rs 5 lakh - and premature is now out of product scope.

P1 Declare one subscriber/exit category; rename Expected Return; separate corpus / lump sum / annuity allocation / illustrative annuity income; require exit age >= 60 and currentAge < exitAge.

Uncertainties preserved from the review

- Exact Income-tax Act, 2025 schedule table serial for a 60% NPS Trust closure exclusion was NOT DEFINITELY VERIFIED. No user-facing 60% tax sentence was implemented.
- Whether a later-than-10-March-2026 PFRDA contribution circular is already in force as of 10 September 2026 was not verified beyond PFRDA/2026/16.
- Exact Gazette Extraordinary number for the 13 July 2026 notification was not fully extracted; 20 July 2026 consolidated regulations were used for annuity percentages from the 16.12.2025 amendment.
- There is no official single 6% ASP annuity rate to verify.

5. Authoritative Basis

The sources below were used during the completed review. This section is a record of that review. It is not a fresh regulatory reinterpretation.

PFRDA - PFRDA (Exits and Withdrawals under the National Pension System) Regulations, 2015, last amended 20 July 2026
 Dates: Parent notification 11 May 2015; last amended 20 July 2026
 URL: https://pfrda.org.in/documents/33652/184762/PFRDA%2BExits%2Band%2BWithdrawals%2Bunder%2Bthe%2BNPS%2BRegulations%2B2015%2B_Last%2Bamended%2Bon%2B20%2BJuly%2B2026_%2B%281%29.pdf
 Supported: Current consolidated exit/annuity/threshold text for the locked non-Government normal-exit scope.

PFRDA - (Amendment) Regulations, 2025 - 20%/80% rewrite; thresholds; 15-year or age 60 normal exit
 Dates: w.e.f. 16 December 2025
 URL: <https://www.pfrda.org.in/w/regulatory-framework/regulations/pension-fund-regulatory-and-development-authority-exits-and-withdrawals-under-the-national-pension-system-amendment-regulations-2025>
 Supported: Material rule change from 40% non-Government normal-exit annuity to at least 20%.

PFRDA - Press release - Key amendments in Exit Regulations
 Dates: 19 December 2025
 URL: <https://www.pfrda.org.in/documents/33652/86710/Press+Release+-+Key+changes+-+Exit+Regulations+.pdf>
 Supported: Official comparison: Non-Gov 80/20; Gov 60/40; Rs 8 lakh / Rs 12 lakh bands.

PFRDA - PFRDA Act, 2013 (23 of 2013)
 Dates: In force
 URL: Act 23 of 2013
 Supported: Parent statute.

Bank pages, aggregator calculators, and insurer blogs were not used as regulatory authority.

6. Final Production Formula

```

months = (exitAge - currentAge) x 12 // only if currentAge < exitAge and exitAge >= 60
monthlyRate = illustrativeAnnualReturnPercent / 12 / 100
If monthlyRate = 0: corpus = monthlyContribution x months
Else: corpus = monthlyContribution x [((1 + monthlyRate)^months - 1) / monthlyRate] x (1 + monthlyRate)
If corpus <= Rs 12,00,000: show accumulation only; suppress exit split and annuity income
If corpus > Rs 12,00,000:
    annuityAmount = corpus x allocationPercent // allocation clamped 20%-100%
    nonAnnuity = corpus - annuityAmount
    illustrativeMonthlyAnnuity = annuityAmount x (annuityRatePercent / 100) / 12

```

Variables

Variable	Meaning
monthlyContribution	Level beginning-of-month contribution; product limits, not statutory NPS min/max
illustrativeAnnualReturnPercent	Market-linked illustration; default 10%; not guaranteed
allocationPercent	Statutory minimum 20% for this scoped case when corpus > Rs 12 lakh
annuityRatePercent	Illustrative only; default 6%; not a statutory NPS rate; not an ASP quote

Timing and method assumptions

- Beginning-of-month (annuity-due) monthly contributions. Zero opening balance.
- Not NAV-path performance. Charges/fees not modelled.

7. Final Rules / Assumptions

Material production assumptions are classified below. Statutory / official rule is distinguished from a FOINWI product assumption and from an illustrative user-editable assumption.

Class	Assumption
STATUTORY / OFFICIAL RULE	For scoped non-Government normal exit with corpus > Rs 12 lakh, at least 20% must be used to purchase an annuity.
STATUTORY / OFFICIAL RULE	Government-sector minimum remains 40% - out of this product's scope, not applied silently.
FOINWI PRODUCT ASSUMPTION	Locked to All Citizen / Common Scheme / Tier-I / exit >= 60 / corpus > Rs 12 lakh for the split.
FOINWI PRODUCT ASSUMPTION	Rs 8 lakh and Rs 8-12 lakh bands are not implemented.
ILLUSTRATIVE USER-EDITABLE ASSUMPTION	Market-linked return (default 10%) and annuity-rate assumption (default 6%).

8. Corrections Implemented

Correction 1

Old: Silent 40% x silent 6% = Est. Monthly Pension; inverted ages forced to 1 year.

Corrected: 20% statutory minimum when corpus > Rs 12 lakh; annuity rate labelled illustrative; invalid ages return no projection.

Reason: Current-rule / trust. 40% is still the Government minimum and must not be used silently on a generic page.

Correction 2

Old: Expected Return (%); Corpus at Retirement as if a payout.

Corrected: Illustrative market-linked return; Estimated projected NPS corpus; separated lump sum / annuity allocation / illustrative monthly annuity income.

Reason: Trust language and statutory split.

Correction 3

Old: Validator duplicated SIP helper; no exact vectors.

Corrected: npsEngine imported; 125 checks passed.

Reason: Architecture.

9. Deterministic Test Vectors

The vectors below were executed against the production engine in the calculator validator. No unexecuted tests are listed.

Inputs	Expected	Actual / validated	Result
Rs 5,000 / 10% / 30 years	corpus Rs 1,13,96,626.62; contributed Rs 18,00,000; 20% annuity Rs 22,79,325.32	As correction report	PASS
Zero contribution	corpus 0; split suppressed	As correction report	PASS
Zero return, 30 years, Rs 5,000	Rs 18,00,000	Rs 18,00,000	PASS
One year	Rs 63,351.41 unrounded identity (audit ? Rs 63,351.55 was rounded)	Rs 63,351.41	PASS
Inverted ages / exit age < 60	invalid; not forced to 1 year	valid: false; no financial projection	PASS
Allocation 10%	clamped to 20%	20%	PASS

10. Validation Evidence

Check	Recorded result
validate:nps	Passed 125 checks
validate:calculators	Passed
validate:trust	Passed 32 checks
validate:hardening	Passed 15 checks
lint	Passed
build	Passed

Test limitations

- Live browser check of /nps-calculator could not reach localhost from this environment. Behaviour was verified through the production engine tests and source wiring.

11. Remaining Limitations

This section is mandatory. It records what this calculator deliberately does not model. It protects FOINWI from overclaiming.

- No existing balance, employer contribution, charges, or NAV path.
- No Government / MSF / premature / death paths.
- No Rs 8 lakh / Rs 8-12 lakh corpus-band exit options.
- Annuity income is not an ASP quote.
- Tax is not computed.
- Product age/contribution caps are illustration limits, not the full statutory window.

12. Trust & User-Communication Standard

- Educational illustration; NPS returns are market-linked and not guaranteed.
- 20% is the statutory minimum for this scoped case, not a recommendation.
- 6% annuity rate is illustrative only, not a statutory NPS rate.
- Not personalised advice; not tax computation.

13. Architecture

```
graph TD
    UI["UI (NpsCalculator.jsx)"] --> Rules["central rules (npsRules.js)"]
    Rules --> Engine["production engine (npsEngine.js -> calculateNpsEstimate)"]
    Engine --> Results["results"]
    Validator["validator (validateNps.js)"] --> Engine
```

- Validation imports calculateNpsEstimate rather than duplicating the SIP helper.

14. Change Record

Calculator	NPS Calculator
Audit date	10 September 2026 (read-only current-rule audit, then same-day correction)
Correction date	10 September 2026, 22:46:36 IST
Final Git commit hash	5352accc1a586b67a423964f20691b84ee89d2bd
Commit message	Correct NPS calculator for current exit rules
Branch	main
Relevant production files	src/utils/nps/npsRules.js; src/utils/nps/npsEngine.js; src/components/NpsCalculator.jsx; scripts/validateNps.js; scripts/validateAllCalculators.js; package.json (validate:nps); Direct NPS copy in calculators, explains, insights, journeys, Learn, Guide, concepts, recommendations

Validator	scripts/validateNps.js
Validation command	npm run validate:nps

Final Git commit 5352acc verified from git log. Pre-work HEAD was 6463cb3 (HRA correction).

15. Final Status

FOINWI INTERNAL PRODUCT ACCURACY STATUS

Checkpoint	Status
Current-rule audit completed	YES
Correction completed	YES
Production engine validated	YES
Regression checks passed	YES
Known limitations documented	YES

Status reflects the rules, assumptions, sources and production checkpoint documented in this record. Regulatory and statutory requirements may change after the recorded review date.

This record does not state that the calculator is 100% legally accurate, permanently compliant, government certified, or error-free forever.